

have \$500,000, \$100,000, or something in between. But bare-bones retirees must learn to spend less than "normal" very early retirees. Instead of living on \$50 a day, with \$100,000 or so of net worth you'll have to live on half that amount. You'll have a tougher time protecting your capital against inflation. Your sense of financial security will have to come from faith in yourself rather than big bank balances. You'll have to count on Social Security when you reach age 62.

But you *can* retire right now. This chapter tells you how.

RETIRING ON \$743 A MONTH

In 1983 the average Social Security payment to a retired worker and spouse was \$743. At 8 percent annual interest—the figure I've used throughout this book—you need to invest just over \$110,000 to generate \$743 of monthly income.

How many Americans have \$100,000 or \$110,000? The Census Bureau, in a study published in 1986, found that two-thirds of America's families own their homes. Their median home equity in 1984 was \$40,597. Add the value of cars, savings, IRAs, Pet Rocks, phony Cartier watches, and shoe polish, and \$100,000 or so becomes a very achievable net worth for huge numbers of Americans, perhaps a majority.

Picture an elderly couple living on \$743-a-month Social Security. If you're like me, you see a hollow-eyed man and stooped woman huddled around a radiator in a drafty, cold-water flat in Baltimore. Paint peels from the walls, threadbare rugs cover creaky floors, and a depressing, worn sofa looks as inviting as barbed wire. Low-watt bulbs cast just enough light to give you a headache. The TV blares constantly. The daily meal looks like what some people might feed their dog. Conversation centers around pain, doctors, nurses, Medicare, medicine, and death.

You'd do anything—even keep working at a job you hate—to avoid a fate like that. But let's look a little closer at that